

BERNARD M. BARUCH

1870–1965

As a boy, Bernard Baruch picked cotton to earn money for powder and shot so he could hunt rabbits. In his autobiography, he recalls growing up in rural South Carolina, where whites and blacks clashed constantly in the post-Civil War years. When a close friend died in a duel, Baruch's father moved the family to New York in 1880. In 1884, young Baruch entered City College. After college, Baruch had a chance to go to Mexico to work for the venerable Guggenheim family, but his protective mother vetoed the idea and found him a job as a banker's apprentice. It didn't last long. Bored and looking for adventure, Baruch went to Colorado to find gold, laboring in a mine during the day and gambling at night.

In 1891, Baruch was back in New York working for a member of the New York Stock Exchange, first as a clerk, then as an analyst. Not long after, he struck out on his own, knocking on doors and looking for money to invest. Baruch, who made friends easily (i.e., the Guggenheims and Rockefellers), made millions in the market. He attributed his success to rigorous self-appraisal. "And as I came to know myself," he said, "I acquired a better understanding of other people." For him, Wall Street was "one long course of education in human nature." In general he was very wary of tips. "There is something about inside information," he said, "which seems to paralyze a man's reasoning powers. . . . He will disregard the most evident facts."

Baruch became such a force on Wall Street that the press started tracking his whereabouts. One newspaper reported: "One of the things which made many of the room traders bearish was a rumor that B. M. Baruch was about to go away on a short vacation. . . ." The one-time gambler eventually became an adviser to U.S. presidents. He served as chairman of the War Industries Board in World War I, and his contributions won him a place on the Nazi hit list in World War II. His rising concern with national issues and the economic health of the United States is reflected in *Does a Stock Market Slump Mean a Business Slide-Off?*, in which he discusses why the market is a barometer for business conditions.